

AUTHORITY FOR EXPENDITURE (AFE)

AFE No.: AFE-2024-635 Date: August 30, 2024 Type: Drill and Complete

Operator: Llano Estacado Operating, LLC

Well: Bergstrom 33-25 #1H

Location: Township 10 South, Range 23 East, N.M.P.M., Section 33, Chaves County, New Mexico

Objective Depth: 12,000 feet (Mississippian) Estimated Spud: March 2024

Estimated Costs (USD)

Cost Item	Dry Hole (\$)	Completion (\$)
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Location, roads, pad	200,000	0
Drilling rig & tools	2,560,000	0
Drilling fluids & chemicals	544,000	0
Cementing	336,000	120,000
Logging, testing, supervision	408,000	192,000
Surface & intermediate casing	512,000	0
Production casing & tubing	0	1,000,000
Wellhead & tree	0	144,000
Hydraulic fracturing	0	3,840,000
Facilities & tank battery	0	416,000
Contingency (10%)	456,000	571,200
TOTAL ESTIMATE	5,016,000	6,283,200

Intangible drilling costs (IDC) are generally deductible as incurred; tangible equipment is capitalized and depreciated. This AFE is an estimate; actual costs may vary. Approval authorizes Operator to incur the costs above for the joint account.

APPROVED -- OPERATOR: _____ Working Interest: _____

APPROVED -- NON-OPERATOR: _____ Working Interest: _____